



Shipbuilding Credit Act 1964

1964 CHAPTER 7

An Act to enable the Minister of Transport to make loans for the purpose of providing finance for the construction or alteration of ships in shipyards situated in the United Kingdom, any of the Channel Islands or the Isle of Man and the equipment of the resulting ships.
[27th February 1964]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Subject to this section the Minister may with the consent of the Treasury, and after consultation with an advisory committee appointed by the Minister, lend to any person who is qualified to receive loans under this section such a sum as may be agreed between the Minister and that person for the purpose of the carrying out to that person's order in a shipyard situated in the United Kingdom, any of the Channel Islands or the Isle of Man of one of the following projects, that is to say—

- (a) the construction of a ship of not less than one hundred tons gross tonnage, or
- (b) the alteration of such a ship, whether the alteration is designed to convert it into a different kind of ship or not,

and for the purpose, in either case, of the equipment of the resulting ship.

(2) A person is qualified to receive loans under this section if, and only if, he is an individual resident in, or a body corporate established under the law of, any part of the United Kingdom, any of the Channel Islands or the Isle of Man.

(3) A loan shall not be made under this section to a person—

(a) in respect of the construction of a ship, if under the enactments relating to the sea fishing industry there is (whether by virtue of any scheme for the time being in force thereunder or otherwise) power to make any grant or loan to him in respect of the provision or acquisition of that ship; or

(b) in respect of the alteration of a ship, if under the said enactments there is (whether by virtue of any such scheme or otherwise) power to make any grant or loan to him in respect of the alteration or anything proposed to be done as part of the alteration.

(4) Any number of loans under this section may be made to the same person.

(5) Every loan made by the Minister under this section shall carry interest at such rate as the Treasury may direct and, subject to that, shall be made on such terms and conditions, and subject to payment to the Minister in connection therewith of such costs or fees (if any), as may with the approval of the Treasury be agreed (or as may, with the like approval, have before the passing of this Act been agreed) between the Minister and the person to whom it is made.

(6) Loans made under this section shall not together exceed the sum of seventy-five million pounds, and no such loan shall be made under this section after 31st May 1964 in respect of a ship unless on or before that date an application for a loan in respect of the construction or alteration of that ship in a shipyard situated as mentioned in subsection (1) above has been made (whether before or after the passing of this Act) to the Minister or to any person authorised by the Minister to receive such applications on his behalf.

57 & 58 Vict.
c. 60.

(7) In this section “gross tonnage” means gross tonnage ascertained in accordance with section 77 of the Merchant Shipping Act 1894, any reference to the construction of a ship includes a reference to the completion of a partially constructed ship, and any reference to the equipment of a ship is a reference to the installation on or in it, or the provision for it, of fixed or moveable equipment, apparatus or furnishings of any kind.

Financial
provisions.

2.—(1) The Treasury shall issue out of the Consolidated Fund to the Minister such sums as are necessary to enable him to make loans under section 1 of this Act.

(2) For the purpose of providing sums to be issued out of the Consolidated Fund under subsection (1) above, or providing for the replacement of sums so issued, the Treasury may at any time, if they think fit, raise money in any manner in which they

are authorised to raise money under the National Loans Act 2 & 3 Geo. 6. 1939, and any securities created and issued to raise money under c. 117. this subsection shall be deemed for all purposes to be created and issued under that Act.

(3) Any sums received by the Minister by way of interest on, or repayment of, loans made under section 1 of this Act shall be paid into the Exchequer and shall be issued out of the Consolidated Fund at such times as the Treasury may direct, and shall be applied by the Treasury as follows, that is—

- (a) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit, and
- (b) so much thereof as represents interest shall be applied towards meeting such part of the annual charges for the National Debt as represents interest.

(4) The Minister shall, as respects each financial year, prepare in such form and manner as the Treasury may direct an account of sums issued to him under subsection (1) above, and of the sums received by him by way of interest on, or repayment of, loans made by him under section 1 of this Act, and of the disposal by him of those sums respectively; and the Minister shall, not later than the end of November following the year, send the account to the Comptroller and Auditor General who shall examine, certify and report on the account and lay copies of it, together with his report, before each House of Parliament.

(5) There shall be paid out of moneys provided by Parliament—

- (a) any administrative expenses incurred for the purposes of this Act by the Minister; and
- (b) any sums required by the Minister for making repayments of fees received by him in connection with loans made or to be made under section 1 of this Act.

(6) Any sums received by the Minister in connection with loans made or to be made under section 1 of this Act, other than sums falling under subsection (3) above, shall be paid into the Exchequer.

3.—(1) This Act may be cited as the Shipbuilding Credit Act 1964. Short title
and
interpretation.

(2) In this Act “the Minister” means the Minister of Transport, and “ship” includes every description of vessel used in navigation.